

The Complainant Has Filed The Present ... vs Vidhyadharan Mj 2007 (3) Rcr (Cr) 865 on 7 January, 2016

IN THE COURT OF

MS. ARCHANA BENIWAL

METROPOLITAN MAGISTRATE (SOUTH-EAST) - 08

SAKET COURTS : NEW DELHI

Unique Id No. 02406R0176682014

CC No. 160/4

PS Amar Colony

Sh. Subhash Chandra Sharma
S/o Late Sh. Jagannath,
R/o L-48, 2nd Floor, Srinivasपुरi,
New Delhi 110065

Versus

Anil Kumar Soni ,
s/o Sh. Harish Soni
R/o 278, 2nd Floor, I.P. Colony,
Faridabad, Haryana

OFFENCE COMPLAINED OF OR PROVED

: Section 138 of Negotiable
Instrument Act.

PLEA OF ACCUSED

: Pled not guilty

DATE OF INSTITUTION

: 20.07.2012

DATE OF RESERVING ORDER

: 24.11.2015

FINAL ORDER

: Acquitted.

DATE OF PRONOUNCEMENT

: 07.01.2016

J U D G M E N T

BRIEF REASONS FOR THE ORDER

1.The complainant has filed the present complaint under Section 138, Negotiable Instruments Act, 1881 (hereinafter called the NI Act) against the above mentioned three accused . The complainant has stated the case as under:

2. The complainant Subhash Chandra Sharma gave a friendly loan of Rs.1,00,000/- to the accused Anil Kumar in the month of January 2012 which the accused promised to refund within four months and also gave a post dated cheque bearing no. 219320 dated 12.04.2012 for Rs.1,00,000/- drawn on

Punjab National Bank, East of Kailash New Delhi in favour of the complainant.

3. Upon the promise and assurance of the accused, the complainant presented the said cheque to his banker i.e. Kangra Co-operative Bank Limited, Govindpuri, New Delhi on 31.05.2012. However, the cheque was returned unpaid with the remarks "Funds insufficient" vide returning memo dated 01.06.2012.

4. The complainant, through his advocate, sent a legal demand notice dated 04.06.2012 U/s 138 of NI Act through Speed Post whereby calling upon the accused to make the payment of the said cheque within 15 days of the receipt of the notice. The accused did not make the payment within the stipulated time. Hence, the complainant has filed the present complaint.

5. The Court examined the complainant on oath. After perusing the material available on record the Court took the cognizance and process was issued against all the accused. Accused appeared in the Court. He was released on bail.

6. The notice u/s 251 Cr.P.C. was served upon the accused. He had pleaded not guilty and claimed trial. His plea of defence was recorded. He moved application U/s 145 (2) NI Act to cross examine the complaint.

7. The complainant has examined himself as CW1 to prove its case. The CW1 has reiterated the facts stated in the complainant. The CW1 has relied upon the following documents: •The cheque bearing no.219320 dated 12.04.2012 is Ex.CW1/A;

•The cheque returning memo dated 01.06.2012 is Ex.CW1/B;

•The copy of legal notice is Ex.CW1/C;

•Postal receipt is Ex.CW1/D.

8. The witness was cross examined. The complainant did not examine any other witness. The CE was closed vide order dated 22.08.2015. The accused was examined and his statement was recorded separately under Section 313 Cr.P.C, by putting all the incriminating circumstances to him, on 29.09.2015. Accused has stated that he is innocent. He admitted to issuing the cheque in question but he asserted that he had issued a blank cheque and in lieu of this cheque, he had issued two cheques bearing no. 382960 and 382959 both of Rs.50,000/- each dated 25.11.2011 drawn on Indus Bank, Lajpat Nagar Branch, as there was less amount in his PNB Bank account for which he had previously issued the previous cheque. He also denied receiving any legal notice. However, he has not led any evidence. The matter was fixed for final arguments. Both the parties have argued the case. The complainant has argued in person.

9. The complainant has argued that he has proved his case beyond reasonable doubts and therefore, the guilt of the accused has been proved as per law. It is proved that accused was liable to make the payment, however, he did not make the payment within stipulated time. It is also proved that all the

steps were taken by the complainant within the time provided by the law. Hence, the accused may be convicted for the offence U/s 138 NI Act.

10. Per contra, Ld. Counsel for the accused has submitted that the complainant has failed to prove his case against the accused. The accused is not liable to make any payment. The complainant has already received amount of Rs.1,00,000/□through two cheques given by the accused which have been duly encashed by the complainant and therefore the accused was not under any obligation to make any further payment to the complainant. Therefore, it is submitted, the accused may be acquitted.

11. I have heard, at length the arguments submitted before the Court and carefully perused the material on record.

12. In the present case, it is an admitted fact that the complainant and the accused are known to each other. It is also an admitted fact that the accused had signed the cheque in question. However, the accused has taken the defence that the complainant has already received amount of Rs.1,00,000/□through two cheques given by the accused which have been duly encashed by the complainant and therefore the accused was not under any obligation to make any further payment to the complainant.

13. Before discussing further, it would be useful to quote the language of the relevant provisions of the law with regard to the present case u/s 138 Negotiable Instrument Act:

138. Dishonour of of cheque for insufficiency, etc. of funds in the account□Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provision of this Act, be punished with imprisonment for [a terms which may be extended to two years], or with fine which may extend to twice the amount of the cheque, or with both:

Provided that nothing contained in this section shall apply unless □

(a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;

(b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, [within thirty days] of the receipt of information by him from the bank regarding the return of the cheque as unpaid' and.

(c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or as the case may be, to the holder in due course of the cheque within fifteen days of the receipt of the said notice.

Explanation - For the purposes of this section, " debt or other liability" means a legally enforceable debt or other liability.

139. Presumption in favour of holder□It shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque, of the nature referred to in section 138, for the discharge, in whole or in part, of any debt or other liability.

The ingredients to prove the commission of offence under Sec. 138 NI Act have been laid down in Jugesh Sehgal Vs. Shamsheer Singh Gogi 2009 (9) SCALE 455. The relevant portion of the said judgment reads as under:

"9. It is manifest that to constitute an offence under Section 138 of the Act, the following ingredients are required to be fulfilled:

(i) a person must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;

(ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;

(iii) that cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity whichever is earlier;

(iv) that cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank;

(v) the payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 15 days of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

(VI) the drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice"

In the judgment titled as Sanjay Mishra v. Ms. Kanishka Kapoor @ Nikki and Anr. 2009 CRI.L.J. 3777 in Para No. 15 "The Apex Court has held that the laws relating to the said Act are required to be

interpreted in the light of the object intended to be achieved by it despite there being deviation from general law. The Apex Court expressed that the object of Section 138 of the said Act was to ensure that commercial and mercantile activities are conducted in smooth and healthy manner. The explanation to Section 138 of the said Act clearly provides that a debt or other liability referred to in section means a legally enforceable debt or other liability. The alleged liability to repay an unaccounted cash amount admittedly not disclosed in the Income Tax Return cannot be a legally recoverable liability. If such liability is held to be a legally recoverable debt, it will render the explanation to Section 138 of the said Act nugatory. It will defeat the very object of Section 138 of the Act of ensuring that the commercial and mercantile activities are conducted in a healthy manner. The provision of Section 138 cannot be resorted to for recovery of an unaccounted amount. A cheque issued in discharge of alleged liability of repaying "unaccounted" cash amount cannot be said to be a cheque issued in discharge of a legally enforceable debt or liability within the meaning of explanation of Section 138 of the said Act. Such an effort to misuse the provision of Section 138 of the said Act has to be discouraged"

It has been further held in paragraph no. 7 and 13 of this case that where there is a failure to show the amount alleged by the complainant to the accused in the income tax return and the said amount is more than Rs. 20,000/ it may be sufficient to rebut the presumption under Sec. 139 of the Act that the cheque has been issued for discharge of legally recoverable debt or liability.

Sec. 269SS of Income Tax Act provides that any transaction of loan or any kind of deposit in the amount of Rs. 20,000/ and above shall be made by account payee cheque or demand draft and non-compliance of this provision attracts penalty equal to the loan or deposit amount under 271D of Income Tax Act.

In Kulvinder Singh Vs Kafeel Ahmed Cr LP 478/2011 and Vipul Kumar Gupta Vs Vipin Kumar Gupta 2012 V AD Cri DHC 189 it was held by Justice V.K. Shali that accused will be entitled to acquittal where the complainant is not able to show the source of friendly loan or the solvency for the same and the said amount is not shown in the Income Tax return.

In K Prakashan Vs P.K. Surendren 2008 (1) SCC258 and Vipul Kumar Gupta Vs Vipin Gupta 2012 (4) SCC (NI) 248 it was held that presumption of cheque issued in discharge of debt gets dislodged where complainant is not able to give source of amount loaned to accused.

From reading of below quoted paragraphs No. 4 to 9 and 20 of Hon'ble Supreme Court in Vijay Vs Laxman 2013 (1) RCR Cr 1028, the following legal ratio emerges with regard to burden of proof in matters under NI Act.

The prosecution has to prove beyond reasonable doubt that cheque was issued by the accused duly signed by him but this burden is lightened by presumption under Sec. 118 and 139 NI Act. Hence, the complainant has only to make an averment that

cheque was issued by accused to complainant for lawful consideration.

Thereafter, the burden shifts on the accused to show that the cheque was not issued in lieu of legally enforceable debt or liability but was issued by way of security or any other reason on account of some business transaction or was obtained unlawfully.

However, accused can rebut this presumption or discharge his burden by showing a probable defence or preponderance of probability raising genuine doubt that no legally enforceable debt or liability exists.

Accused can discharge this burden either from circumstances appearing in the case or the evidence adduced by the complainant or accused in his defence.

On reading of definition of word proved or disproved in Sec. 3 of Evidence Act with Sec. 139 NI Act court shall presume a negotiable instrument to be for consideration unless and until after considering the matter before it, it either believes that the consideration does not exist or considers the non-existence of the consideration so probable that a prudent man ought, under the circumstances of the particular case, to act upon the supposition that the consideration does not exist.

Above said paragraphs No. 4 to 9 and 20 of Hon'ble Supreme Court in Vijay Vs Laxman and another 2013 (1) RCR Cr 1028 are quoted in their terms hereinbelow.

In M.S. Narayana Menon v. State of Kerala (2006) 6 SCC 39, while dealing with that aspect in a case under Section 138 of the Negotiable Instruments Act, 1881, this Court held that the presumptions under Sections 118(a) and 139 of the Act are rebuttable and the standard of proof required for such rebuttal is preponderance of probabilities and not proof beyond reasonable doubt. The Court observed:

"29. In terms of Section 4 of the Evidence Act whenever it is provided by the Act that the court shall presume a fact, it shall regard such fact as proved unless and until it is disproved. The words "proved" and "disproved" have been defined in Section 3 of the Evidence Act (the interpretation clause)...

30. Applying the said definitions of "proved" or "disproved" to the principle behind Section 118(a) of the Act, the court shall presume a negotiable instrument to be for consideration unless and until after considering the matter before it, it either believes that the consideration does not exist or considers the non-existence of the consideration so probable that a prudent man ought, under the circumstances of the particular case, to act upon the supposition that the consideration does not exist. For rebutting such presumption, what is needed is to raise a probable defence. Even for the said purpose, the evidence adduced on behalf of the complainant could be relied upon.

XX XX XX XX

32. The standard of proof evidently is preponderance of probabilities. Inference of preponderance of probabilities can be drawn not only from the materials on record but also by reference to the circumstances upon which he relies.

XX XX XX XX

41...Therefore, the rebuttal does not have to be conclusively established but such evidence must be adduced before the court in support of the defence that the court must either believe the defence to exist or consider its existence to be reasonably probable, the standard of reasonability being that of the 'prudent man'."

The decision in M.S. Narayana Menon (supra) was relied upon in K. Prakashan v. P.K. Surenderan (2008) 1 SCC 258 where this Court reiterated the legal position as under:

"13. The Act raises two presumptions; firstly, in regard to the passing of consideration as contained in Section 118 (a) therein and, secondly, a presumption that the holder of cheque receiving the same of the nature referred to in Section 139 discharged in whole or in part any debt or other liability. Presumptions both under Sections 118 (a) and 139 are rebuttable in nature.

It is furthermore not in doubt or dispute that whereas the standard of proof so far as the prosecution is concerned is proof of guilt beyond all reasonable doubt; the one on the accused is only mere preponderance of probability."

To the same effect is the decision of this Court in Krishna Janardhan Bhat v. Dattatraya G. Hegde (2008) 4 SCC 54 where this Court observed:

"32... Standard of proof on the part of an accused and that of the prosecution a criminal case is different.

XX XX XX XX

34. Furthermore, whereas prosecution must prove the guilt of an accused beyond all reasonable doubt, the standard of proof so as to prove a defence on the part of an accused is preponderance of probabilities.

XX XX XX XX

45... Statute mandates raising of presumption but it stops at that. It does not say how presumption drawn should be held to have rebutted. Other important principles of legal jurisprudence, namely presumption of innocence as human rights and the doctrine of reverse burden introduced by Section 139 should be delicately balanced."

Presumptions under Sections 118(a) and Section 139 were held to be rebuttable on a preponderance of probabilities in *Bharat Barrel Drum Manufacturing Company v. Amin Chand Pyarelal* (1999) 3 SCC 35 also where the Court observed:

"11... Though the evidential burden is initially placed on the defendant by virtue of S.118 it can be rebutted by the defendant by showing a preponderance of probabilities that such consideration as stated in the pronote, or in the suit notice or in the plaint does not exist and once the presumption is so rebutted, the said presumption 'disappears'. For the purpose of rebutting the initial evidential burden, the defendant can rely on direct evidence or circumstantial evidence or on presumptions of law or fact. Once such convincing rebuttal evidence is adduced and accepted by the Court, having regard to all the circumstances of the case and the preponderance of probabilities, the evidential burden shifts back to the plaintiff who has also the legal burden."

In *Hiten P. Dalal v. Bratindranath Banerjee* (2001) 6 SCC 16 this Court compared evidentiary presumptions in favour of the prosecution with the presumption of innocence in the following terms:

"22... Presumptions are rules of evidence and do not conflict with the presumption of innocence, because by the latter all that is meant is that the prosecution is obliged to prove the case against the accused beyond reasonable doubt. The obligation on the prosecution may be discharged with the help of presumptions of law or fact unless the accused adduces evidence showing the reasonable possibility of the non-existence of the presumed fact.

23. In other words, provided the facts required to form the basis of a presumption of law exists, no discretion is left with the Court but to draw the statutory conclusion, but this does not preclude the person against whom the presumption is drawn from rebutting it and proving the contrary. ..."

Decisions in *Mahtab Singh & Anr. v. State of Uttar Pradesh* (2009) 13 SCC 670, *Subramaniam v. State of Tamil Nadu* (2009) 14 SCC 415 and *Vishnu Dutt Sharma v. Daya Sagra* (2009) 13 SCC 729, take the same line of reasoning.

It is undoubtedly true that when a cheque is issued by a person who has signed on the cheque and the complainant reasonably discharges the burden that the cheque had been issued towards a lawful payment, it is for the accused to discharge the burden under Section 118 and 139 of the N.I. Act that the cheque had not been issued towards discharge of a legal debt but was issued by way of security or any other reason on account of some business transaction or was obtained unlawfully. The purpose of the N.I. Act is clearly to provide a speedy remedy to curb and to keep check on the economic offence of duping or cheating a person to whom a cheque is issued towards discharge of a debt and if the complainant reasonably discharges the burden that the payment was towards a lawful debt, it is not open for the accused/signatory of the cheque to set up a defence that although

the cheque had been signed by him, which had bounced, the same would not constitute an offence.

Above said observations were also made by Hon'ble Supreme Court in Kamala S Vs Vidhyadharan MJ 2007 (3) RCR (Cr) 865.

It was also held in Vijay case (supra) that where the case of the complainant was not found credible regarding the loan advanced as no material, leave alone documentary evidence was filed showing that loan transaction took place and date of loan granted to accused was also not mentioned it can be one of the points showing that the accused has rebutted the presumption under Sec. 139 NI Act. Considering this as one of the points judgment of conviction of court below was set aside and accused was acquitted.

In Vipul Kumar Gupta Vs Vipin Gupta 2012 V AD Cri (DHC) 189 it was held by Hon'ble Delhi High Court that the accused will be entitled to acquittal where :

- The complainant has not shown the loan amount in the ITR or the books of account where the complainant stated that he had maintained the account book regularly about the income and expenditure.
- The complainant has not shown on what date the loan was given nor obtained any receipt from the accused.
- The complainant stated that a complete cheque duly filled and signed was given by the accused but actually the signatures and the remaining portion of cheque are in two different inks as revealed from naked eyes. In such situation it will probablize the defence of the accused that the cheque was given as security.

FINDINGS :

14. In view of the facts of the case, relevant law quoted above, written submissions filed by the complainant and arguments heard, I am of the opinion that accused is entitled to acquittal not only because presumption under Sec. 139 NI Act stands rebutted in view of miserable failure of the complainant to discharge the onus after such rebuttal but also because on facts there is strong probability that the legal notice was not delivered and the cheque was misused. I am of this view because of the following reasons :

15. Complainant himself demolished his own case in cross-examination when on one hand he has submitted that he had got the month and the year in the date column of the cheque by someone else and he is unable to tell the name of the person who had filled these details in the cheque and also he was unable to furnish any proof regarding the previous business dealings with the accused wherein the accused had transferred Rs. 1,00,000/- in his account, whereas it is the case/ defence of the accused that the complainant has already received amount of Rs.1,00,000/- through

two cheques given by the accused which have been duly encashed by the complainant and thus, the accused had discharged his liability to the complainant.

16. On one hand the complainant states that he had given the amount in question as a friendly loan to the accused and on the other hand it is the case of the complainant that he was involved in various business dealing with the accused for which he could not furnish any proof.

17. The complainant has admitted that he had withdrawn the amount of Rs.1,00,000/- through the cheques given by the accused to the complainant, which is the defence of the accused. However, the complainant is unable to account or furnish any proof to show any business dealing with the accused regarding this amount.

18. The complainant admits that he has not filed any Income Tax return showing the amount of Rs.1,00,000.00 which he had apparently given as friendly loan to the accused, nor he had not disclosed the amount in his ITR even though he is an income tax payee.

19. The said loan is much more than Rs. 20,000/- and violative of provision of Sec. 269 SS of Income Tax Act stating that all transactions amounting to Rs. 20,000/- will be done either by way of account payee cheque or demand draft and non-compliance of this provision attracts penalty equal to the loan or deposit amount under 271D of Income Tax Act.

20. If the story of the complainant is that the amount of Rs. 1 lac was a friendly loan given to the accused then such version is hard to believe in the absence of specifying the exact date of loan or producing any receipt therefor.

21. It is doubtful whether the accused had received any legal notice from the complainant because the accused has stated in his statement recorded under section 313 Cr.PC that he did not receive any legal demand notice. The complainant has produced only on speed post receipt to show that legal notice had been sent to the accused but no AD card or UPC receipt has been produced to show that the notice had actually been received by the accused.

22. The accused states in his explanation under Sec. 313 CrPC that he has already discharged his liability of Rs.1,00,000/- by issuing two cheques from his other account of the said amount which have been duly encashed by the complainant and the cheque has been misused. Said defence also gets strong support in view of aforesaid points entitling the accused to acquittal and also from the fact that the date i.e. the month and the year on alleged cheque have been filled by a person other than the accused or the complainant and the complainant is unable to account for the person or even provide his name as to who had filled in the these particulars. As

already stated this will probabalize the defence of the accused that the cheque was given as security which were later misused.

DECISION

23. In view of the facts and circumstances of the case, contradictions highlighted, relevant law and my findings, the accused is acquitted for the charges levelled against him as the complainant is required to prove the guilt of the accused beyond reasonable doubt which in my opinion he has failed to prove miserably. Endorsement, if any is cancelled, bail bonds for purpose of trial are discharged, documents, if any be returned against proper receipt subject to filing of bail bonds in compliance of Sec. 437 A CrPC.

Announced in the open court
on 07.01.2016

(Archana Ben
Metropolitan Magis
South East, Saket,